

As far as Special Economic Zones are concerned, I think the WTO Secretariat was a little premature in expressing doubt in their effectiveness in boosting both investment and employment. In the 15 months since the SEZ Act and Rules were notified on 10th February 2006, investments of the order of \$8 billion have already been made and another \$25 billion investment is under way. So far, over 31000 people have got direct employment and this is expected to rise to 100,000 by the end of this calendar year and to 4 million by the end of 2010. The large number of textile, gems and leather SEZs being established would provide employment for a less skilled labour force.

From the reply on behalf of India at India's Trade Policy Review at the WTO in Geneva on May 25, 2007

about 29.73 lakh sq.km of land available in the country (i.e. requirement of land for these SEZs is only about 0.06% of the total land). When we compare with the total arable land of 16.20 lakh sq.km, in the country, this works out to only about 0.12%.

Other concerns regarding the possible misuse of the SEZ policy have been addressed through inclusion of necessary safeguards in the SEZ Act and SEZ Rules. These include provisions that land in the SEZ cannot be sold by the Developer. Vacant land in SEZ cannot be leased to any person other than a co-developer. If a developer is not fulfilling the conditions of approval, the Central Government can take over the SEZ and appoint Administrator; land for SEZ should be vacant at the time of application for the SEZ and as such there cannot be any conversion of existing businesses; the SEZ Rules, 2006 and recently amended Section 10AA of the Income Tax Act, 1961 prevents use of previously used Capital Goods in the SEZ beyond 20% of the total asset value and as such the relocation of businesses from domestic area to the SEZs is not possible etc.

The policy of such significance and import for economic growth has attracted a lot of debate and discussions. Various issues concerning the SEZ policy including acquisition of land have been engaging the attention of the Government and suitable directions have since been given by the Empowered Group of Ministers (EGOM) to the BoA. These include processing the pending applications for SEZs for in principle & formal approval and notifications subject to the condition that the State Governments would not undertake any compulsory acquisition of land for such SEZs, requesting the Ministry of Rural Development to reformulate a comprehensive Land Acquisition Act to address all relevant issues, working out a comprehensive Resettlement and Rehabilitation Policy ensuring livelihood from the project to at least one person from each displaced family, fixing the minimum processing area uniformly at 50% for multi product SEZs as well as sector specific SEZs and fixing the upper limit of the area required for multi product SEZ at 5000 hectares with provision for prescribing a lower limit by the State Governments.

Thus, the process of evolution of the SEZ policy has been participative which augurs well for the success of SEZs. It is hoped that SEZs would channelise the necessary investments that the country needs for maintaining its incredible growth story.

The SEZ Success Stories

Nokia SEZ in Tamil Nadu

- Already commenced commercial production and exports
- Investment of US \$ 100 million (additional investment of 150 million US \$ expected by December 2007)
- Providing direct employment to 3,800 persons
- Ancillary manufacturing industries being set up with employment of 12000 persons by December 2007

Quark city SEZ in Chandigarh

- Expected to have FDI of around US \$ 0.5 billion
- Expected to provide employment to 55,000 persons

Flextronics SEZ in Tamil Nadu

- Already invested US \$ 200 million (final investment US \$ 400 million)
- Already providing employment to 2,069 persons

SIPCOT, Motorola, Dell SEZ in Tamil Nadu

- Setting up electronic hardware manufacturing units in the SIPCOT SEZ
- Investments of over US \$ 200 million
- Employment of 5000 persons by December 2007

Apache SEZ (Adidas Group) in Andhra Pradesh

- Already commenced production in their footwear SEZ
- Expected investment of US \$ 50 million
- 2,500 persons already employed
- Expected to provide employment to 20,000 persons

Rajiv Gandhi Technology Park, Chandigarh

- Infosys technologies has started setting up activities
- 1,000 persons recruited and under training
- Expected employment is 6,000

Brandix Apparel SEZ, Vishakhapatnam, Andhra Pradesh

- Investments of US \$ 100 million
- Expected investments of US \$ 1.1 billion
- Expected employment of 60,000 by March 2009

ETL Infrastructure IT SEZ Chennai

- 4,000 persons already employed

Hyderabad Gems Limited, Hyderabad

- 1,200 persons already employed

Wipro Limited, Karnataka

- 3,945 persons employed in two SEZs

Maharashtra Airport Development Company Limited

- Expected employment of 1,20,000 persons
- 1,200 persons already employed